

4-7e Step 5. Extend the Accounts to the Income Statement and Balance Sheet Columns

The adjusted trial balance amounts are extended to the Income Statement and Balance Sheet columns. The amounts for revenues and expenses are extended to the Income Statement columns. The amounts for assets, liabilities, and stockholders' equity (Common Stock, Retained Earnings, Dividends) are extended to the Balance Sheet columns.

The first account listed in the Adjusted Trial Balance columns is Cash with a debit balance of \$2,065. Cash is an asset, is listed on the balance sheet, and has a debit balance. Therefore, \$2,065 is extended to the Balance Sheet Debit column. Accounts Receivable and the other balance sheet accounts are extended in the same manner. Fees Earned is the first account extended to the Income Statement columns. Its balance of \$16,840 is extended to the Income Statement Credit column. The same process continues until all account balances have been extended to the proper columns, as shown in Exhibit 24.

Exhibit 24

Spreadsheet with Amounts Extended to Income Statement and Balance Sheet Columns

	A	B	C	D	E	F	G	H	I	J	K
1											
2											
3											
4											
5											
6	Account Title	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
7											
8	Cash	2,065				2,065				2,065	
9	Accounts Receivable	2,220		(d) 500		2,720				2,720	
10	Supplies	2,000			(a) 1,240	760				760	
11	Prepaid Insurance	2,400			(b) 200	2,200				2,200	
12	Land	20,000				20,000				20,000	
13	Office Equipment	1,800				1,800				1,800	
14	Accum. Depr.—Office Equip.				(f) 50		50				50
15	Accounts Payable		900				900				900
16	Wages Payable				(e) 250		250				250
17	Unearned Rent		360	(c) 120			240				240
18	Common Stock		25,000				25,000				25,000
19	Dividends	4,000				4,000				4,000	
20	Fees Earned		16,340		(d) 500		16,840		16,840		
21	Rent Revenue				(c) 120		120		120		
22	Wages Expense	4,275		(e) 250		4,525		4,525			
23	Supplies Expense	800		(a) 1,240		2,040		2,040			
24	Rent Expense	1,600				1,600		1,600			
25	Utilities Expense	985				985		985			
26	Insurance Expense			(b) 200		200		200			
27	Depreciation Expense			(f) 50		50		50			
28	Miscellaneous Expense	455				455		455			
29		42,600	42,600	2,360	2,360	43,400	43,400				
30											

The revenue and expense amounts are extended to (entered in) the Income Statement columns.

The asset, liability, common stock, and dividends amounts are extended to (entered in) the Balance Sheet columns.

